

Microsoft (MSFT US)

Buy: FCF may bottom out in 2027

**Equities
Software**

United States

- ◆ We have revised our estimates to reflect changes in FX rates and business environment over the last few months
- ◆ Little change to FY26-28e, with our 4QFY26 and FY27 non-GAAP EPS estimates 3.0% and 5.7% above consensus
- ◆ Maintain Buy rating; lower TP to USD567 (from USD571) on slightly lower near-term estimates

Azure should continue driving strong growth: We expect Microsoft to report total revenue growth of 16.8% y-o-y in 4QFY26 (18.3% in 3QFY26), driven by continued strong 39.6% y-o-y growth at Azure. Our 4QFY26e revenue estimate of USD89,314m is above company guidance of USD87,250m. Throughout the quarter, we saw anecdotes of GPU shortages leading to higher than expected prices. SpaceX was able to rent its GPU's to Anthropic and Google at unusually high prices, in our view, suggesting there may be upside risk to our Azure estimates. We expect non-GAAP operating margin to remain roughly flat y-o-y at 44.9% (guidance 44.0%).

Capex and asset turnover to remain in focus: We expect capex to rise to USD41,000m in 4QFY26 (USD31,900m in 3QFY26). Azure asset turnover (revenue/assets deployed, including leased assets) should remain moderate at 37.0% in 4QFY26 (37.0% in 3QFY26). Asset turnover has declined from the 42-43% range in FY22 as GPU-focused cloud offerings have become a larger portion of the mix. As Microsoft's GPU focused business continues to outgrow the rest of its portfolio, we expect asset turnover to dip to 33-34% in the long run (vs 26-29% for pure GPU focused clouds). We estimate that only c54% of gross assets deployed by Microsoft are IT equipment, suggesting many of the long-life assets deployed by Microsoft may be underutilized. Hypothetically, if Microsoft's IT assets were 65% of total assets, as is the case with CoreWeave, Microsoft's revenue could be 20% higher from the same dollar denominated asset base. Thus, the company may be able to disproportionately increase its revenue generating IT component, which may help improve its asset turnover, partially mitigating the adverse mix effect.

FCF should bottom out in FY27e: We expect FCF to bottom at USD-5bn before rising to USD132bn in FY30e. Stabilization of capex, a rising share of IT equipment in the asset base, and reduction in construction WIP are likely to help improve FCF. Leaving aside the interlude of FY25-27e that was driven by a sudden AI-driven capex surge, a FY23-30 at scale FCF CAGR of 13.1% is attractive, in our opinion.

Attractive valuation: Microsoft shares are trading at 16.9x CY27e non-GAAP PE (in-line with sector median). We expect Microsoft's non-GAAP EPS to rise at a CY26-28e CAGR of 21.0% (sector median 19.2%). Our TP of USD567 (from USD571) is based on 29x our NTM non-GAAP EPS estimate of USD19.56 (from USD19.68). Our TP implies 47.9% upside and we maintain our Buy rating.



MAINTAIN BUY

TARGET PRICE (USD)

567.00

PREVIOUS TARGET (USD)

571.00

SHARE PRICE (USD)

383.34

(as of 08 Jul 2026)

UPSIDE/DOWNSIDE

+47.9%

MARKET DATA

Market cap (USDm)	2,847,617	Free float	100%
Market cap (USDm)	2,847,617	BBG	MSFT US
3m ADTV (USDm)	16,185	RIC	MSFT.O

FINANCIALS AND RATIOS (USD)

Year to	06/2025a	06/2026e	06/2027e	06/2028e
HSBC EPS	13.92	16.93	20.59	25.15
HSBC EPS (prev)	14.00	16.92	20.71	24.68
Change (%)	-0.6	0.0	-0.6	1.9
Consensus EPS	13.37	16.78	19.41	22.81
PE (x)	27.5	22.6	18.6	15.2
Dividend yield (%)	0.8	0.9	1.0	1.1
EV/EBITDA (x)	17.2	14.6	11.6	9.0
ROE (%)	33.9	32.3	30.9	29.5

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Securities (USA) Inc.

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Financials & valuation: Microsoft

Buy

Financial statements

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Profit & loss summary (USDm)				
Revenue	281,724	331,146	406,005	509,116
EBITDA	162,681	193,491	246,696	318,747
Depreciation & amortisation	-34,153	-38,770	-57,654	-86,066
Operating profit/EBIT	128,528	154,721	189,042	232,681
Net interest	0	0	0	0
PBT	123,627	161,213	183,449	225,260
HSBC PBT	126,319	156,315	189,049	231,260
Taxation	-21,795	-31,573	-34,855	-42,799
Net profit	101,832	129,640	148,594	182,461
HSBC net profit	103,877	126,164	153,130	187,321
Cash flow summary (USDm)				
Cash flow from operations	136,162	169,953	235,151	303,378
Capex	-64,551	-121,146	-240,000	-264,000
Cash flow from investment	-72,599	-125,669	-240,000	-264,000
Dividends	-24,082	-26,439	-29,021	-31,972
Change in net debt	-27,501	23,697	52,870	2,595
FCF equity	71,611	48,807	-4,849	39,378
Balance sheet summary (USDm)				
Intangible fixed assets	142,113	138,986	138,986	138,986
Tangible fixed assets	285,759	421,015	631,368	838,701
Current assets	191,131	183,808	172,210	215,104
Cash & others	94,565	70,979	30,109	39,515
Total assets	619,003	743,809	942,564	1,192,792
Operating liabilities	232,373	262,701	332,644	410,018
Gross debt	43,151	43,262	55,262	67,262
Net debt	-51,414	-27,717	25,153	27,747
Shareholders' funds	343,479	437,845	554,658	715,511
Invested capital	292,065	410,128	579,811	743,258

Ratio, growth and per share analysis

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Y-o-y % change				
Revenue	14.9	17.5	22.6	25.4
EBITDA	23.5	18.9	27.5	29.2
Operating profit	17.4	20.4	22.2	23.1
PBT	14.7	30.4	13.8	22.8
HSBC EPS	17.9	21.6	21.6	22.1
Ratios (%)				
Revenue/IC (x)	1.0	0.9	0.8	0.8
ROIC	39.5	35.4	30.9	28.5
ROE	33.9	32.3	30.9	29.5
ROA	18.0	19.0	17.6	17.1
EBITDA margin	57.7	58.4	60.8	62.6
Operating profit margin	45.6	46.7	46.6	45.7
EBITDA/net interest (x)				
Net debt/equity	-15.0	-6.3	4.5	3.9
Net debt/EBITDA (x)	-0.3	-0.1	0.1	0.1
CF from operations/net debt			934.9	1093.4
Per share data (USD)				
EPS Rep (diluted)	13.64	17.39	19.98	24.50
HSBC EPS (diluted)	13.92	16.93	20.59	25.15
DPS	3.23	3.55	3.90	4.29
Book value	46.01	58.75	74.57	96.06

Key forecast drivers

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Revenue growth, yoy, %	14.9	17.5	22.6	25.4
HSBC EPS growth, yoy, %	18.0	21.6	21.6	22.1
Gross margin, %	68.8	68.1	67.1	66.2
Operating margin, %	45.6	46.7	46.6	45.7

Valuation data

Year to	06/2025a	06/2026e	06/2027e	06/2028e
EV/sales	9.9	8.5	7.1	5.6
EV/EBITDA	17.2	14.6	11.6	9.0
EV/IC	9.6	6.9	5.0	3.9
PE*	27.5	22.6	18.6	15.2
PB	8.3	6.5	5.1	4.0
FCF yield (%)	2.5	1.7	-0.2	1.4
Dividend yield (%)	0.8	0.9	1.0	1.1

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	06/2025a	Governance Indicators	06/2026a
GHG emission intensity*	n/a	No. of board members	12
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	41.7
Social Indicators		Board members independence (%)	91.7
06/2025a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

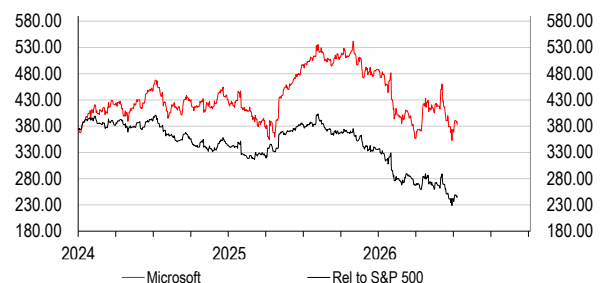
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	383.34	Free float	100%
Target price (USD)	567.00	Sector	Software
RIC (Equity)	MSFT.O	Country/Region	United States
Bloomberg (Equity)	MSFT US	Analyst	Stephen Bersey
Market cap (USDm)	2,847,617	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 08 Jul 2026

Azure should continue driving strong growth

Microsoft: Evolution of results

USDm, FYE June	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26e	4Q26 guidance
Revenue	65,585	69,632	70,066	76,441	77,673	81,273	82,886	89,314	87,250
Azure	16,835	17,340	19,248	21,750	23,569	24,103	26,947	30,366	
Rest of Microsoft	48,750	52,292	50,818	54,691	54,104	57,170	55,939	58,949	
Revenue: y-o-y	16.0%	12.3%	13.3%	18.1%	18.4%	16.7%	18.3%	16.8%	14.1%
Azure	33.0%	31.0%	33.0%	39.0%	40.0%	39.0%	40.0%	39.6%	
Rest of Microsoft	11.2%	7.2%	7.2%	11.4%	11.0%	9.3%	10.1%	7.8%	
Costs	-35,033	-37,979	-38,066	-42,118	-39,712	-42,998	-44,488	-49,227	
y-o-y	18.3%	8.5%	11.1%	14.4%	13.4%	13.2%	16.9%	16.9%	
Operating profit (non-GAAP)	30,552	31,653	32,000	34,323	37,961	38,275	38,398	40,087	38,400
Margin	46.6%	45.5%	45.7%	44.9%	48.9%	47.1%	46.3%	44.9%	
One-off items	0	0	0	0	0	0	0	0	
Operating profit (GAAP)	30,552	31,653	32,000	34,323	37,961	38,275	38,398	40,087	
Margin	46.6%	45.5%	45.7%	44.9%	48.9%	47.1%	46.3%	44.9%	
Net profit (non-GAAP)	25,190	25,047	26,407	27,233	30,833	30,875	31,792	32,664	
EPS (non-GAAP) (USD)	3.37	3.35	3.54	3.65	4.13	4.14	4.27	4.39	
y-o-y	12.9%	14.5%	20.5%	23.8%	22.5%	23.4%	20.7%	20.2%	
Total debt	45,117	44,970	42,881	43,151	43,208	40,262	40,262	43,262	
Cash	78,428	71,555	79,618	94,565	102,012	89,462	78,272	70,979	
Net debt	-33,311	-26,585	-36,737	-51,414	-58,804	-49,200	-38,010	-27,717	
Operating cash flow	34,180	22,291	37,044	42,647	45,057	35,758	46,679	42,459	
Capex	-20,000	-22,600	-21,400	-24,200	-34,900	-37,500	-31,900	-41,000	
FCF	14,180	-309	15,644	18,447	10,157	-1,742	14,779	1,459	

Source: Company data, HSBC estimates

Capex likely to remain in focus

We expect capex to rise to USD41,000m in 4QFY26 (USD31,900m in 3QFY26) as the company continues to ramp up capacity to meet rising AI-driven demand. We expect asset turnover including leased assets to remain moderate at 37.0% in 4QFY26.

Azure: Asset turnover should remain moderate

USDm, FYE June	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26e
Azure revenue	16,835	17,340	19,248	21,750	23,569	24,103	26,947	30,366
y-o-y	33.0%	31.0%	33.0%	39.0%	40.0%	39.0%	40.0%	39.6%
Gross PP&E	239,019	260,970	287,610	298,619	329,741	366,076	396,952	437,952
Estimated construction WIP	39,000	42,600	44,000	45,600	59,100	72,400	69,400	72,900
Gross PP&E used for non-cloud business	43,674	43,674	43,674	43,674	43,674	43,674	43,674	43,674
Gross PP&E ex constr WIP less used for non-cloud	156,345	174,696	199,936	209,345	226,967	250,002	283,878	321,378
Ann Azure revenue/Avg gross PP&E - c WIP - non-cloud	46.2%	41.9%	41.1%	42.5%	43.2%	40.4%	40.4%	40.1%
Operating lease ROU assets	20,528	22,816	24,475	24,823	24,791	25,103	24,403	26,966
Gross PP&E - c WIP - non cloud + op leased assets	176,873	197,512	224,411	234,168	251,758	275,105	308,281	348,344
Ann Azure rev/Avg gross PP&E - c WIP - non cloud + leased	40.7%	37.1%	36.5%	37.9%	38.8%	36.6%	37.0%	37.0%

Source: Company data, HSBC estimates

Rising share of GPU-focused clouds should gradually reduce asset turnover

GPU-focused clouds are more capital intensive than general purpose clouds. When comparing asset turnover: Amazon AWS and Microsoft Azure have sizeable general purpose cloud offerings, while CoreWeave and Oracle Cloud Infrastructure are more GPU focused. Notably, as Microsoft's GPU-focused clouds becomes a larger portion of its portfolio, we expect the gradual decline in its asset turnover and ROIC to continue. However, ROIC is likely to remain attractive at 13-14% even in the long run.

Cloud infrastructure providers: Comparative asset turnover, margins and ROIC

USDm, FYE Dec	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Asset turnover: Gross assets, ex WIP and including leased assets								
Oracle: OCI	26.9%	29.6%	24.4%	20.9%	22.7%	26.2%	28.3%	29.1%
Amazon: AWS	100.6%	85.8%	66.7%	51.4%	41.4%	37.0%	35.7%	36.4%
Google Cloud	NA	NA	NA	NA	NA	NA	NA	NA
Microsoft *	38.9%	37.8%	37.5%	36.7%	36.2%	35.1%	34.3%	33.6%
CoreWeave	NA	NA	22.8%	23.5%	25.8%	26.8%	26.8%	26.7%
Non-GAAP operating margin								
Oracle: OCI*	17.6%	21.6%	25.7%	29.1%	29.5%	30.2%	31.0%	31.4%
Amazon: AWS	36.7%	45.1%	43.1%	44.4%	44.7%	45.0%	44.4%	43.9%
Google Cloud	5.2%	14.1%	23.7%	30.6%	29.9%	29.9%	NA	NA
Microsoft *	39.0%	39.5%	40.0%	40.0%	40.0%	40.0%	40.0%	40.0%
CoreWeave	0.3%	18.6%	13.0%	6.9%	14.2%	16.4%	15.5%	15.1%
ROIC (non-GAAP EBIT/gross assets, ex WIP and incl leased assets)								
Oracle: OCI	4.7%	6.4%	6.3%	6.1%	6.7%	7.9%	8.8%	9.1%
Amazon: AWS	36.9%	38.7%	28.8%	22.8%	18.5%	16.7%	15.9%	16.0%
Google Cloud	NA	NA	NA	NA	NA	NA	NA	NA
Microsoft	15.2%	15.0%	15.0%	14.7%	14.5%	14.0%	13.7%	13.5%
CoreWeave**	NA	6.5%	3.9%	2.1%	4.7%	5.6%	5.2%	4.9%

Source: Company data, HSBC estimates *Even historical numbers are estimated by HSBC **If we include the impact of customer advances ROIC rises to high single digit

Normalization of unusual asset pattern to partially offset rising share of GPU's

We consider Microsoft and Oracle's gross PP&E asset patterns unusual. Most of Microsoft's and Oracle's gross PP&E likely pertains to their cloud infrastructure businesses. We expect IT equipment to account for c70% of gross assets, while data centers, buildings, etc. should account for the remaining 30%. The asset pattern of CoreWeave (pure play GPU cloud provider) is in-line with our expectation. But in the case of Microsoft, IT assets are 53-54% of total asset base, which we find unusual. Prima facie, it could indicate Microsoft has too much data center capacity, which is not yet occupied by IT equipment such as GPUs. But general anecdotes from the industry do not support this conclusion. There are, however, several comments from Microsoft that historically c50% of their capex was in long term assets (such as data center infrastructure) while only 50% was on revenue generating IT assets such as GPU's/CPU's. This is changing gradually; Microsoft flagged in its 3QFY26 earnings call that 2/3rd of its capex was on short-lived revenue generating assets. The changing composition of capex/asset base is likely to improve Microsoft's asset turnover and partially offset the adverse impact of rising share of GPU-focused cloud. Hypothetically, if Microsoft's IT assets were 65% of total assets, as in the case of CoreWeave, we estimate Microsoft's revenue could have been 20% higher from the same dollar-denominated asset base as cloud revenue is largely a function of IT equipment.

Composition of gross PP&E: IT equipment vs data centers, et al.

Last reported financials	CoreWeave	Oracle	Microsoft
IT equipment	27,454	59,634	190,883
Other gross PP&E	4,601	23,044	136,669
Construction WIP: If disclosed	9,581	39,973	69,400
Gross PP&E including non-cloud business, if any	41,636	122,651	396,952
Operating lease ROU assets	10,182	29,690	24,403
Total assets including ROU assets ex construction WIP	42,237	112,368	351,955
Of which: IT equipment	65.0%	53.1%	54.2%
Depreciation/Avg Gross PP&E ex constr WIP ex ROU assets	16.2%	12.7%	13.1%

Source: Company data, HSBC estimates

The differences in the composition of gross PP&E are reflected in relative depreciation/gross PP&E. CoreWeave's depreciation is c16% of its gross PP&E, which is consistent with a company whose main assets are GPUs and other IT equipment that have a 6-year expected life. Oracle and Microsoft have depreciation that is only about c13% of gross PP&E. As

depreciation is the largest cost item in the cloud infra business and accounts for 45-50% of revenue for CoreWeave, lower depreciation can result in significantly higher non-GAAP operating margin. This may be one of the reasons why Oracle Cloud Infrastructure likely has higher margins despite having comparable asset turnover as CoreWeave.

FCF to bottom in FY2027e

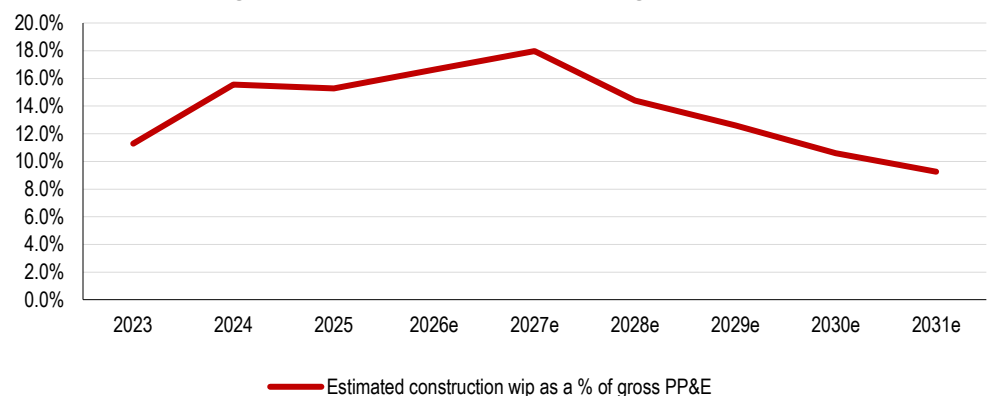
We expect Microsoft's capex to surge to USD240bn by FY27e vs USD88.2bn in FY25, resulting in FCF declining to a negative USD5bn by FY27e. Capex growth beyond 2027 is likely to be slower unless AI demand continues to surprise on the upside, several years in a row. Percent of assets that are under construction is also likely to decline, ensuring a higher portion of capex is generating revenue and operating cash flow. Consequently, we think that FCF is likely to improve from FY27 onwards to USD131bn by FY30. We believe one of the biggest investor concerns regarding Microsoft revolves around its weakened FCF generation. We expect Microsoft's FCF yield-to-equity to approach the levels seen at Apple by CY29e.

Microsoft: Summary sheet

USDm, FYE June	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue	143,015	168,088	198,270	211,915	245,122	281,724	331,146	406,005	509,116	613,058	722,133
y-o-y		17.5%	18.0%	6.9%	15.7%	14.9%	17.5%	22.6%	25.4%	20.4%	17.8%
Costs	-90,056	-98,172	-114,887	-122,221	-135,689	-153,196	-176,425	-216,964	-276,435	-335,777	-402,098
y-o-y		9.0%	17.0%	6.4%	11.0%	12.9%	15.2%	23.0%	27.4%	21.5%	19.8%
Operating profit (non-GAAP)	52,959	69,916	83,383	89,694	109,433	128,528	154,721	189,042	232,681	277,281	320,034
Margin	37.0%	41.6%	42.1%	42.3%	44.6%	45.6%	46.7%	46.6%	45.7%	45.2%	44.3%
One-off items	0	0	0	-1,171	0	0	0	0	0	0	0
Operating profit (GAAP)	52,959	69,916	83,383	88,523	109,433	128,528	154,721	189,042	232,681	277,281	320,034
Margin	37.0%	41.6%	42.1%	41.8%	44.6%	45.6%	46.7%	46.6%	45.7%	45.2%	44.3%
Net profit (non-GAAP)	44,281	60,651	69,447	73,307	88,136	103,877	126,164	153,130	187,321	220,538	255,902
EPS (non-GAAP) (USD)	5.76	7.97	9.21	9.81	11.80	13.92	16.93	20.59	25.15	29.51	34.09
y-o-y		38.4%	15.6%	6.5%	20.3%	18.0%	21.6%	21.6%	22.1%	17.3%	15.5%
Total debt	63,327	58,146	49,781	47,237	51,630	43,151	43,262	55,262	67,262	55,262	27,262
Cash	136,527	130,334	104,757	111,262	75,543	94,565	70,979	30,109	39,515	51,474	106,051
Net debt	-73,200	-72,188	-54,976	-64,025	-23,913	-51,414	-27,717	25,153	27,747	3,788	-78,789
Operating cash flow	60,675	76,740	89,035	87,582	118,548	136,162	169,953	235,151	303,378	372,847	450,345
Capex	-19,000	-24,200	-29,200	-31,900	-55,700	-88,200	-145,300	-240,000	-264,000	-303,600	-318,780
FCF	41,675	52,540	59,835	55,682	62,848	47,962	24,653	-4,849	39,378	69,247	131,565
Shareholder dividends	-15,137	-16,521	-18,135	-19,800	-21,771	-24,082	-26,439	-29,021	-31,972	-35,287	-38,989
Share buybacks	-21,625	-25,692	-30,855	-20,379	-15,252	-16,364	-21,203	-19,000	-10,000	-10,000	-10,000
Acquisitions	-2,521	-8,909	-22,038	-1,670	-69,132	-5,978	-1,291	0	0	0	0

Source: Company data, HSBC estimates

Microsoft: Work in progress construction* as a % of total gross PP&E



Source: Company data, HSBC estimates

*Microsoft does not report work in progress construction, so we have assumed trailing two quarters' capex as a proxy, in line with Oracle

FCF: We expect FCF to trough around CY2027

CY, USDm	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
ORCL	12,134	7,139	8,395	10,105	9,542	-13,181	-34,202	-40,190	-24,931	3,911	48,978
AAPL	80,178	101,853	97,498	106,867	106,298	108,601	141,336	152,771	159,450	165,518	NA
ADBE	5,308	6,893	7,396	6,942	7,873	9,853	11,074	11,846	12,406	NA	NA
ADSK	1,346	1,475	2,031	1,282	1,567	2,409	2,792	3,389	3,819	NA	NA
AMZN	31,018	-9,069	-11,569	36,786	38,219	11,194	-7,155	-12,995	17,308	50,263	90,394
CRM	NA	5,283	6,313	9,498	12,434	14,402	14,200	15,108	16,564	18,547	21,073
CRWV	NA	NA	-71	-1,110	-5,953	-7,251	-25,297	-19,691	-3,783	-1,723	-2,152
GOOG	42,843	67,012	60,010	69,495	72,764	73,266	-23,333	-5,786	59,678	NA	NA
HPQ	3,540	6,320	2,081	3,133	3,266	2,878	3,260	2,771	2,763	3,134	3,128
IBM	15,152	9,384	8,718	11,694	7,150	11,576	15,719	15,426	17,647	17,249	18,158
INTU	2,486	3,067	4,089	4,675	5,632	6,839	9,512	9,861	11,170	11,549	12,122
META	23,632	39,116	19,289	44,068	54,072	46,109	6,518	26,656	61,432	101,632	137,695
MSFT	47,428	56,409	55,986	61,447	49,983	42,506	21,384	19,509	56,247	104,384	169,127
NOW	NA	1,799	2,173	2,704	3,415	4,576	6,687	7,796	8,684	10,978	13,700
NVDA	4,694	8,132	3,808	27,021	60,853	96,676	224,093	331,534	NA	NA	NA
PLTR	NA	321	184	697	1,141	2,101	4,348	6,342	7,859	10,382	12,606
SAP (EURm)	4,464	5,398	4,773	5,547	4,423	8,263	9,101	11,410	12,398	13,413	14,637

Source: Company data, HSBC estimates

FCF yield to equity (CY basis)

FCF/Mkt Cap	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
ORCL	2.7%	1.8%	2.2%	2.6%	2.4%	-3.2%	-8.2%	-9.4%	-5.8%	0.9%	11.1%
AAPL	2.4%	1.9%	1.9%	2.2%	2.2%	2.3%	3.1%	3.4%	3.7%	3.9%	
ADBE	4.9%	6.5%	7.1%	6.8%	7.9%	10.4%	12.5%	13.9%	15.1%		
ADSK	2.9%	3.2%	4.5%	2.9%	3.5%	5.4%	6.4%	7.8%	8.9%		
AMZN	1.2%	-0.4%	-0.5%	1.4%	1.5%	0.4%	-0.3%	-0.5%	0.6%	1.8%	3.3%
CRM		3.3%	3.8%	5.8%	7.7%	9.0%	10.3%	11.5%	12.7%	14.2%	15.9%
CRWV			-0.4%	-6.4%	-30.4%	-18.5%	-53.3%	-41.5%	-8.0%	-3.6%	-4.5%
GOOG			1.3%	1.5%	1.6%	1.7%	-0.5%	-0.1%	1.4%		
HPQ	10.8%	22.7%	8.5%	13.2%	14.1%	12.8%	15.2%	13.7%	14.3%	17.2%	18.5%
IBM	5.6%	3.4%	3.2%	4.2%	2.5%	4.0%	5.5%	5.3%	6.0%	5.9%	6.1%
INTU	3.4%	4.0%	5.3%	6.1%	7.3%	8.9%	12.7%	13.1%	14.7%	15.2%	15.9%
META	1.4%	2.3%	1.2%	2.8%	3.4%	3.0%	0.4%	1.7%	3.9%	6.4%	8.6%
MSFT	1.6%	1.9%	1.9%	2.1%	1.7%	1.5%	0.7%	0.7%	2.0%	3.6%	5.9%
NOW		1.6%	2.0%	2.4%	3.0%	4.1%	6.0%	6.9%	7.8%	10.0%	12.6%
NVDA	0.9%	1.6%	0.7%	0.5%	1.2%	1.9%	4.5%	6.7%			
PLTR		0.1%	0.1%	0.2%	0.4%	0.6%	1.3%	1.8%	2.2%	2.9%	3.4%
SAP	2.7%	3.3%	2.9%	3.4%	2.7%	5.1%	5.7%	7.4%	8.1%	8.8%	9.6%

Source: Company data, HSBC estimates

Changes to our estimates

We have slightly lowered our capex assumptions, while increasing long-term revenue estimates as we believe our previous estimates did not give Microsoft enough credit for a rising share of short lived, revenue generating assets in its portfolio.

We increase our 2029-30e non-GAAP EPS estimates by 6-7% estimates as we have removed the equity income loss we had assumed from OpenAI, to come in-line with Microsoft reporting, and we are slightly lower our interest cost assumptions to reflect lower capex.

Microsoft: Changes to HSBC estimates

FYE June, USDm	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue									
Old	198,270	211,915	245,122	281,724	331,147	406,233	495,659	592,588	697,217
New	198,270	211,915	245,122	281,724	331,146	406,005	509,116	613,058	722,133
% change	0.0%	0.0%	0.0%	0.0%	0.0%	-0.1%	2.7%	3.5%	3.6%
Non-GAAP operating profit									
Old	83,383	89,694	109,433	128,528	154,632	189,996	228,195	272,356	316,857
New	83,383	89,694	109,433	128,528	154,721	189,042	232,681	277,281	320,034
% change	0.0%	0.0%	0.0%	0.0%	0.1%	-0.5%	2.0%	1.8%	1.0%
Non-GAAP net profit									
Old	69,447	73,307	88,136	103,877	126,092	153,825	183,418	205,368	239,819
New	69,447	73,307	88,136	103,877	126,164	153,130	187,321	220,538	255,902
% change	0.0%	0.0%	0.0%	0.0%	0.1%	-0.5%	2.1%	7.4%	6.7%
Non-GAAP EPS									
Old	9.21	9.81	11.80	13.92	16.92	20.71	24.68	27.59	32.13
New	9.21	9.81	11.80	13.92	16.93	20.59	25.15	29.51	34.09
% change	0.0%	0.0%	0.0%	0.0%	0.1%	-0.6%	1.9%	7.0%	6.1%
Capex									
Old	29,200	31,900	55,700	88,200	145,300	240,000	276,000	317,400	349,140
New	29,200	31,900	55,700	88,200	145,300	240,000	264,000	303,600	318,780
% change	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	-4.3%	-4.3%	-8.7%

Source: Company data, Visible Alpha, HSBC estimates

HSBC estimates vs consensus
Microsoft: HSBC estimates vs consensus

USDm, FYE June	1Q26	2Q26	3Q26	4Q26e	2026e	2027e	2028e
Revenue							
HSBC	77,673	81,273	82,886	89,314	331,146	406,005	509,116
Consensus	77,673	81,273	82,886	87,686	329,500	384,854	453,507
HSBC vs consensus	0.0%	0.0%	0.0%	1.9%	0.5%	5.5%	12.3%
Operating profit (non-GAAP)							
HSBC	37,961	38,275	38,398	40,087	154,721	189,042	232,681
Consensus	37,961	38,275	38,398	38,961	153,613	179,100	211,722
HSBC vs consensus	0.0%	0.0%	0.0%	2.9%	0.7%	5.6%	9.9%
Profit before tax (non-GAAP)							
HSBC	38,362	38,268	39,359	40,326	156,315	189,049	231,260
Consensus	38,362	38,268	39,340	39,145	156,261	178,650	210,639
HSBC vs consensus	0.0%	0.0%	0.0%	3.0%	0.0%	5.8%	9.8%
Net profit (non-GAAP)							
HSBC	30,833	30,875	31,792	32,664	126,164	153,130	187,321
Consensus	30,833	30,875	31,792	31,624	125,879	144,336	170,735
HSBC vs consensus	0.0%	0.0%	0.0%	3.3%	0.2%	6.1%	9.7%
EPS (non-GAAP)							
HSBC	4.13	4.14	4.27	4.39	16.93	20.59	25.15
Consensus	4.13	4.14	4.27	4.26	16.93	19.48	23.15
HSBC vs consensus	0.0%	0.0%	0.0%	3.0%	0.0%	5.7%	8.6%
Capex (incl finance leases)							
HSBC	34,900	37,500	31,900	41,000	145,300	240,000	264,000
Consensus	34,900	37,500	31,900	42,087	146,382	231,960	254,477
HSBC vs consensus	0.0%	0.0%	0.0%	-2.6%	-0.7%	3.5%	3.7%

Source: Company data, Visible Alpha, HSBC estimates *Some discrepancy between quarterly and annual consensus as not every analyst provides quarterly estimates

Attractive valuation

Comparative valuation using share-based compensation as a real expense

Company	Ticker	Rating	CMP (USD)	TP (USD)	PE (non-GAAP, after SBC)				EV/EBIT (non-GAAP, after SBC)				EPS CAGR CY26-28e	PEG CY26e
					CY25	CY26e	CY27e	CY28e	CY25	CY26e	CY27e	CY28e		
Oracle	ORCL US	Buy	140.49	316.00	26.8	24.9	20.4	14.3	23.1	19.4	16.2	12.6	32.0%	0.78
Adobe	ADBE US	Buy	220.94	308.00	13.1	11.2	10.1	9.0	10.4	9.2	8.1	7.1	11.3%	0.99
Autodesk	ADSK US	Buy	206.04	357.00	38.8	30.5	22.5	20.1	22.9	17.2	14.3	12.2	23.2%	1.32
Amazon	AMZN US	Buy	243.62	310.00	30.7	26.2	23.7	19.9	31.5	25.6	20.4	16.9	14.7%	1.78
Salesforce	CRM US	Buy	166.58	356.00	17.2	15.3	13.9	11.9	15.4	13.8	11.4	9.6	13.5%	1.13
CoreWeave	CRWV US	Reduce	90.00	36.00	-35.2	-20.0	-24.4	-49.6	1,525.7	2,478.4	50.3	26.7	NA	NA
Fair Isaac	FICO US	Reduce	1,266.08	707.00	47.8	29.0	28.3	28.8	34.1	21.5	21.2	21.8	0.4%	74.16
HP	HPQ US	Buy	23.78	29.60	7.5	7.2	6.8	6.2	7.1	6.7	6.4	5.9	7.5%	0.96
Intuit	INTU US	Buy	272.10	707.00	16.5	14.0	11.5	10.2	13.0	10.2	7.8	6.1	17.4%	0.81
Meta	META US	Buy	603.12	905.00	NA	19.3	18.0	15.1	18.4	18.2	15.6	12.9	12.9%**	1.49
Microsoft	MSFT US	Buy	383.34	567.00	24.8	20.6	16.9	14.0	19.7	16.7	13.7	11.2	21.0%	0.98
ServiceNow	NOW US	Buy	107.78	177.00	NA	45.4	35.3	26.3	47.5	36.6	27.5	19.5	31.5%	1.44
Palantir	PLTR US	Hold	132.22	151.00	275.4	114.8	76.0	64.8	211.4	88.7	57.1	48.6	33.1%	3.46
SAP (EUR)	SAP GR	Buy	137.96	185.00	22.6	19.6	16.7	14.8	15.2	13.7	11.4	9.8	15.0%	1.31
Snowflake	SNOW US	Buy	261.31	289.00	-78.1	-100.4	-135.9	-166.1	-81.9	-86.8	-109.2	-132.0	NA	NA
TE Connectivity	TEL US	Hold	196.24	234.00	20.6	17.2	15.3	13.8	17.1	14.0	12.2	13.4	11.9%	1.45
Median					24.8	20.6	16.9	14.3	19.7	16.7	13.7	11.2	19.2%	1.22

Source: LSEG Datastream, Company data, HSBC estimates. *Priced at close on 8 July 2026. ** Depressed by one-time tax effects in 2026e

Microsoft shares are trading at 16.9x CY27e non-GAAP PE (in-line with sector median). We consider the valuation attractive as we expect Microsoft's non-GAAP EPS to rise at a CY26-28e CAGR of 21.0% (sector median 19.2%). If we use Datastream consensus, Microsoft shares are trading at 19.4x P/NTM non-GAAP EPS vs 29x average over the last five years.

Our TP of USD567 (from USD571) is based on 29x our NTM non-GAAP EPS estimate of USD19.56 (from USD19.68). We conservatively use the same P/NTM multiple as the average over the last five years, even though we expect strong Azure growth to drive an even higher EPS CAGR for Microsoft going forward than was realized historically.

Our TP implies 47.9% upside and we maintain our Buy rating.

Downside risks: Higher-than-expected competitive intensity, worse-than-expected stock market or macroeconomic environment, adverse regulatory action, higher than expected competitive pressures in the GPU cloud space, default by major customers (particularly AI labs), and cybersecurity risks.

Disclosure appendix

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Important disclosures

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Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

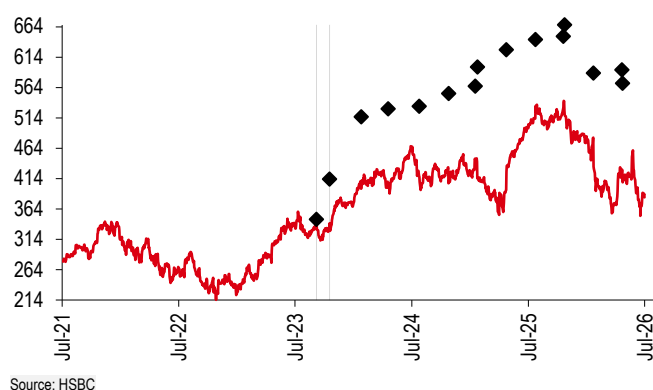
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Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

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Microsoft (MSFT.O) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Add	Terminated	22 Feb 2010	
N/A	Hold	14 Sep 2023	Stephen Bersey
Hold	Buy	25 Oct 2023	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	32.50	18 Oct 2002	
Price 2	347.00	14 Sep 2023	Stephen Bersey
Price 3	413.00	25 Oct 2023	Stephen Bersey
Price 4	516.00	01 Feb 2024	Stephen Bersey
Price 5	529.00	26 Apr 2024	Stephen Bersey
Price 6	533.00	01 Aug 2024	Stephen Bersey
Price 7	554.00	01 Nov 2024	Stephen Bersey
Price 8	566.00	24 Jan 2025	Stephen Bersey
Price 9	598.00	31 Jan 2025	Stephen Bersey
Price 10	626.00	01 May 2025	Stephen Bersey
Price 11	643.00	31 Jul 2025	Stephen Bersey
Price 12	648.00	27 Oct 2025	Stephen Bersey
Price 13	667.00	31 Oct 2025	Stephen Bersey
Price 14	588.00	29 Jan 2026	Stephen Bersey
Price 15	593.00	28 Apr 2026	Stephen Bersey
Price 16	571.00	30 Apr 2026	Stephen Bersey

Source: HSBC.

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
MICROSOFT	MSFT.OQ	383.34	08 Jul 2026	6.7

Source: HSBC

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